iheartjane.com Case Study

Building a Two-Sided Marketplace for the legal Cannabis Industry

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Proposed Strategies

Strategy 1: B2B Vertical Software

- Positions iheartjane as the infrastructure layer for the legal cannabis industry
- Sells inventory management software (SaaS) to dispensaries and growers
- Recurring subscription revenue, low Federal legal risk

Doesn’t serve consumers directly; weak long-term defensibility if competitors copy the software

Strategy 2: Two-Sided Online Marketplace

- Positions iheartjane as the organizing layer of the cannabis market
- Connects dispensaries and consumers via real-time search, exploration & reservations
- Modeled on OpenTable + Grubhub; per-reservation fees for dispensaries, free for consumers

Hard to launch (cold-start problem); faces competition from Eaze and Weedmaps

Compare & Contrast

	B2B Vertical Software	Two-Sided
Who it serves	Dispensaries only	Dispensaries + consumers
Revenue model	SaaS subscriptions	Pre=reservation fees
Revenue predictability	Stable, recurring	Variable early; grows with scale
Mission alignment	Weak	Strong
Ease of launch	Easier	Harder (cold-start problem)
Long-term defensibility	Low (replicable)	High (network effects + data moat)
Scalability	Limited	High

Both strategies: Leverage Abe’s technical expertise, use real-time POS data, and avoid direct cannabis sales (keeping Federal risk low)

Their Decision & Moving Forward

Their Decision:

iheartjane chose the Two-Sided Marketplace strategy. Modeled on OpenTable and Grubhub, they avoided direct cannabis distribution (staying on the right side of Federal law) while creating value for both dispensaries and consumers. Their go-to-market was shrewd: they started with small and mid-sized dispensaries in Santa Cruz and San Jose, positioning themselves as affordable "IT guys" providing digital storefronts, building the supply side first before attracting consumers

By March of 2018:

250
DISPENSARIES

6
STATES

Moving Forward (3 priorities):

1. Invest in the consumer side: personalized recommendations, price alerts, and curated discovery tools to deepen engagement
2. Targeted geographic expansion: enter newly legalized states early to replicate the first-mover advantage from Santa Cruz/San Jose
3. Evolve the pricing model: shift toward tiered SaaS subscriptions for dispensaries, bundling analytics and ad placements for more predictable revenue